

To say it was an exchange in the sense of the word that we think of today would be an overstatement.

NewLibertyStandard's attempt to create a trading location for bitcoin was sparsely populated and illiquid, yet the idea was there. It wouldn't be until the summer of 2010 that a formidable place of exchange would come into existence. In short, the bitcoin markets took time to develop, just as those for stocks or any other asset class.

The asset can stay the same, but the functioning markets around it and the way the asset changes hands can morph considerably. For example, currently the bond markets are undergoing significant changes, as a surprising amount of bond trading is still a “voice and paper market,” where trades are made by institutions calling one another and tangible paper is processed. This makes the bond market much more illiquid and opaque than the stock market, where most transactions are done almost entirely electronically. With the growing wave of digitalization, the bond markets are becoming increasingly liquid and transparent. The same can be said of markets for commodities, art, fine wine, and so on.

Cryptoassets have an inherent advantage in their liquidity and trading volume profile, because they are digital natives. As digital natives, cryptoassets have no physical form, and can be moved as quickly as the Internet can move the 1s and 0s that convey ownership. The rapidity with which cryptoassets can be moved sets them apart from other asset classes—especially alternative assets like art, real estate, and fine wines—and